Years	Units	1	2	3	4
Book depreciation	Per cent	2.64 per cent	5.28 per cent	5.28 per cent	5.28 per cent
Book depreciation (Capital cost*Book depreciation)	Rs lakh	21.12	42.24	42.24	42.24
Opening	Per cent	100 per cent	60 per cent	12 per cent	2 per cent
Allowed during the year	Per cent	40 per cent	48.00 per cent	9.60 per cent	1.92 per cent
Closing	Per cent	60 per cent	12 per cent	2.40 per cent	0.48 per cent
Accelerated depreciation	Rs lakh	320.00	384.00	76.80	15.36
Net depreciation benefit	Rs lakh	298.88	341.76	34.56	-26.88
Tax benefit	Rs lakh	101.59	116.16	11.75	-9.14

end up saving Rs 26 on your investment of Rs 100 in the solar plant. The inherent impacts of these tax provisions are cost saving on infrastructural development to the tune of 20 per cent and reduced electricity payout load of Rs 2 per unit.

For reference and understanding, let's consider:

1. Project cost (capital cost) Rs 80 million
2. Depreciation amount 90 per cent (assuming 10 per cent scrap value)
3. Book depreciation (on fixed assets) 5.28 per cent (dep. as per Companies Act)
4. Tax depreciation rate 80 per cent (under accelerated depreciation benefit)
5. Effective tax rate (as per government) 33.99 per cent

The discussion above shows that the market for solar businesses is ripe, but some hiccups remain in the form of anti-dumping duty, which is adding to its volatility. As the solar business is currently import-dependent, government regulations could lead to cuts in profit. So the question is: Is this the right time to invest in this business? Or what should be done to make the solar business more viable?

Waiting to hear back from you, you may mark your mails to editsec@efy.in

This story has been co-authored by Nidhi Arora and Sanjay Banerjee, technology enthusiasts at EFY Group.